China Hongqiao Group (1378.HK)

Sector: Materials (Aluminium)

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Re: **DDM value HK$27.5 (not a rating)**

Model read	Price (25-Sep-26)	DDM value	Gap to price	Modelled return	CAPM required return
Below value	**HK$20.72**	**HK$27.5**	**+33%**	**44%**	**11.5%**

In Brief: China Hongqiao's shares have fallen roughly 50% from their March peak, and the current price appears to discount a bear case rather than the base case modelled here. The fully integrated aluminium producer trades at 5.3x FY26E earnings with an 11.4% dividend yield even though 1H26 attributable profit rose 39% to a record RMB17.2bn (China Hongqiao, 2026a). A CAPM-based dividend discount model gives a value of HK$27.5 under the base case.

Year to December	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB mn)	156,169	162,354	174,228	168,270	165,130
Aluminium profit per tonne (RMB/t)	4,376	5,054	7,982	7,231	6,550
Attribuable net profit (RMB mn)	**22,372**	**22,636**	**33,482**	**28,608**	**26,636**
EPS (RMB)	2.36	2.38	3.39	2.96	2.82
DPS (HK$)	1.61	1.65	2.36	2.07	1.97
P/E at HK$20.72 (x)		7.6	5.3	6.1	6.4
Dividend yield		8.0%	11.4%	10.0%	9.5%
Return on equity	22.4%	18.8%	23.8%	19.0%	17.1%
Net debt / (net cash) (RMB mn)	25,427	16,920	(370)	(13,569)	(15,967)

Source: company filings (FY24A-FY25A); estimates from the accompanying model. Market capitalisation HK$203bn; 62.6% held by the Zhang family trust.

I. Investment View

Since reaching HK$41 in March 2026, the shares have fallen to HK$20.72, a decline that seems to stem from three notions. The first is the belief that aluminium prices, inflated by the Middle-East supply disruption, have already peaked. The second is a series of capital-allocation surprises in the form of a RMB10.2bn convertible bond, the absence of an interim dividend and a RMB12bn A-share placement at the 88.99%-owned Hongqiao Holdings (002379.SZ). The third is a fresh round of connected-party dealings with the controlling shareholder (China Hongqiao, 2026b). Indeed, the governance concerns are not unfounded. At roughly 5x earnings, the share price appears to reflect an aluminium downturn. Under the bear case, in which SHFE aluminium falls back to around its 2025 average of RMB20,000/t from 1Q27, FY27E profit falls by 42% to RMB16.7bn, yet the dividend discount value of HK$18.7 sits only 10% below the current price. By contrast, the base case implies HK$27.5 (+33%) before an 11.4% dividend. The gap between the base and bear cases is the central point of this outlook.

II. Key Drivers of the Investment Case

A Ceiling on Chinese Supply: China's 45mt electrolytic capacity cap is effectively full, which renders Hongqiao's 6.46mt quota more akin to a scarce licence than a mere production asset. Global primary output grew by a meagre 0.1% in 1H26 (China Hongqiao, 2026e). As such, prices are set by the marginal, energy-exposed overseas smelter and by demand from power grids, energy storage and electric vehicles, which is why the base case holds SHFE at RMB22,500-24,000/t rather than reverting to 2025 levels.

Integration as a Natural Hedge: The value chain runs from Guinean bauxite (78.6% of 1H26 feed) to in-house alumina at a cash cost of roughly RMB2,180/t and onward to smelters powered by captive and hydro electricity. With costs of roughly RMB13,400 per tonne of aluminium against a selling price of RMB21,500/t, the profit per tonne rose from RMB4,538 in 1H25 to RMB8,093 in 1H26. Notably, the alumina glut from Indonesia and India is something of a double-edged sword; while it compressed the alumina segment's gross margin to 6.3%, said oversupply also lowers the smelters' input costs, and the aluminium chain now accounts for roughly 96% of gross profit. This built-in hedge is a key feature of the base case.

Earnings Sensitivity and Cash Conversion: Every RMB1,000/t move in SHFE shifts FY27E attributable profit by roughly RMB3.7bn (about 13%). Moreover, with capex normalising at RMB11-12bn per year, FY26E free cash flow reaches RMB35.2bn, allowing the group to reach a net cash position by end-2026E even after the June 2026 dividend of RMB14.1bn and RMB4.6bn of buybacks.

Mix Upgrade: Deep-processed volumes rose 23% in 1H26 at a premium of roughly RMB2,200/t. Likewise, the relocation of capacity from coal-powered Shandong to hydro-powered Yunnan positions the group favourably for mandatory green-power quotas, the inclusion of aluminium in China's ETS and the EU's CBAM, as well as for potential 'green aluminium' premia.

Optionality in Associates: The roughly 21.7% interest in the Simandou iron-ore consortium, which began operations in November 2025 and shipped its first cargo in December 2025, together with the Guinean bauxite joint ventures, lifts modelled associate income from RMB2.2bn in FY26E to RMB3.3bn in FY28E. Needless to say, little of this is reflected in a 1.2x price-to-book multiple.

III. Reading the Controversies

Capital Allocation: Upon closer inspection, the convertible bond and the placement appear to be more of a refinancing exercise than a sign of distress. The RMB10.2bn zero-coupon bond, whose HK$43.90 conversion price sits far out of the money, falls due in mid-2027, and the placement (assumed in 2Q27E) funds said redemption together with RMB7.9bn of wind and solar capex (China Hongqiao, 2026c). Naturally, this comes at a cost, as ownership of the operating company falls from 89% to roughly 81%, lifting the minority share of profit from about 10% to 17%, all of which is captured in the model. The sequencing raises questions: buying back stock at HK$30-35 in 1H26 and then raising equity further down the group a few months later invites concern about capital planning and about minority shareholders. Notably, if one assumes the 60% payout is held forever and the retained cash earns nothing, the

dividend discount model returns HK$20.3, almost exactly today's price. One reading is that the share price reflects a governance discount rather than the aluminium cycle. The skipped interim dividend, on the other hand, appears to be a matter of timing rather than policy, given that the FY25 payout remained at 62% through a single final dividend of HK$1.65 (China Hongqiao, 2026d).

IV. Catalysts over the Next 6-12 Months

Hongqiao Holdings 3Q26 Results (late October 2026): The first quarterly reading of 2H26, for which the model expects group attributable profit of RMB8.2bn against roughly RMB9.8bn implied for 2Q26.

Resumption of Buybacks: The company has not repurchased shares since May 2026, whereas the controlling shareholder bought at HK$26.4 in June. A return to the modelled pace of RMB1bn per quarter would retire roughly 2% of shares annually.

FY26 Results (March 2027): A final dividend of approximately HK$2.36 at a 60% payout would confirm a yield of roughly 11.4%, which is a possible catalyst for the share price, as it would go some way towards easing the concern that retained cash is not returned to shareholders.

Execution Milestones: Beyond the above, CSRC approval of the placement, completion of the Yunnan relocation and the ramp-up of Simandou shipments should, slowly but surely, de-risk the base case.

V. Key Risks

Aluminium Price: A swift return of Middle-East supply alongside weaker Chinese property and export demand would bring about the bear case, in which FY27E profit falls to RMB16.7bn and the value to HK$18.7.

Guinean Resource Nationalism: With 78.6% of bauxite sourced from Guinea, which revoked a number of mining licences in 2025, export curbs or royalties adding RMB100/t to alumina costs would reduce FY27E profit by roughly RMB1.7bn (about 6%).

Governance and Related Parties: Connected-party procurement, asset purchases from Weiqiao entities, the 2017 short-seller episode and concentrated family control (62.6%) all underscore that minority protection remains the swing factor for the valuation.

Energy and Carbon Policy: Moreover, the group remains exposed to coal costs through Shandong's captive power, to carbon costs under the ETS and to dry-season hydro curtailment in Yunnan, while the relocation itself led to RMB583mn of impairments in 1H26.

VI. Valuation

Valuation: The required return is derived from the CAPM (Sharpe, 1964). A 60-month regression of Hongqiao's excess returns on those of a dividend-inclusive Hang Seng proxy (the Tracker Fund), using the 1-month T-bill as the risk-free rate, gives a beta of 1.30 (t-statistic 5.9, R-squared 0.37). In line with the capital budgeting convention for valuation, the required return then uses the 3.66% ten-year Hong Kong government bond yield (Trading Economics, 2026) and a 6.0% market risk premium, namely k = 3.66% + 1.30 x 6.0% = 11.5%. Dividends are forecast at a 60% payout for FY26E-FY28E, after which growth of 1.5% is assumed with a sustainable payout of 1 - g/ROE, that is 90% at a 15% long-run ROE. Discounting said dividends at 11.5% gives an intrinsic value of HK$27.5. Thus, the expected one-year holding period return of 44% (the HK$2.36 dividend plus convergence to intrinsic value) exceeds the required return by an alpha of 33%. The DDM value implies 8.1x FY27E earnings, comfortably within the 4-14x range of the stock's year-end trailing multiples over 2022-2025.

Scenario (SHFE, RMB/t)	FY27E NP (RMB bn)	FY27E EPS (RMB)	Value (HK$) / upside	Alpha vs CAPM
Bull: deficit persists (25,000-26,000)	37.2	3.85	35.8 / +73%	+73%
Base: gradual easing (22,500-24,000)	**28.6**	**2.96**	**27.5 / +33%**	**+33%**
Bear: back to 2025 levels (20,000)	16.7	1.73	18.7 / -10%	-10%

VII. Limitations

Naturally, said framework has its innate flaws. Firstly, an R-squared of 0.37 means most of Hongqiao's return variance is idiosyncratic, and the CAPM itself has a rather poor empirical record, as betas estimated from historical data explain little of the cross-section of average returns (Fama & French, 2004). Secondly, as a value stock trading at 1.2x book, Hongqiao would perhaps load positively on the HML factor of the Fama-French three-factor model, which would raise its required return above the CAPM figure (Fama & French, 1993). Thirdly, using the 7.21% historical US market premium (French, 2026) instead of 6.0% lifts k to 13.0% and lowers the value to HK$23.7; the model value remains above the price, but the gap narrows to roughly 13%. Moreover, roughly 80% of the value sits in the terminal stage and rests on a long-run aluminium price. Ultimately, any test of mispricing is also a test of the risk-return model used, so a positive alpha may simply indicate the wrong model rather than a mispricing (Fama, 1970).

In one line: the base case points to earnings and dividends well above what the current price implies, while the bear case and the governance questions mark the range of outcomes.

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